

THE BANNING UNIFIED SCHOOL DISTRICT ANNUAL AND FIVE-YEAR REPORTABLE FEES REPORT FOR FISCAL YEAR 2016-2017, IN COMPLIANCE WITH GOVERNMENT CODE SECTIONS 66006 AND 66001

Government Code Sections 66006 and 66001 provide that the Banning Unified School District (“District”) shall make available to the public certain information and adopt prescribed findings relative to school facility fees adopted pursuant to Education Code Section 17620 and Government Code Section 65995 (“Level 1 Fees” and “Commercial/Industrial Fees.” and collectively, “Statutory School Facility Fees”) and Government Code Sections 65995.5, 65995.6 and 65995.7 (“Level 2 Fees” and “Level 3 Fees,” and collectively, “Alternative School Facility Fees”). The foregoing fees are collectively also referred to as reportable fees (“Reportable Fees”). The described information and findings contained in this Annual and Five-Year Reportable Fees Report (“Report”) relate to Reportable Fees that the District received, expended or may expend in connection with school facilities (“School Facilities”) in order to accommodate additional students from new and other residential development as well as commercial and industrial development (collectively referred to as “Development”). The Reportable Fees only include money in possession of the District and does not include letters of credit, bonds, or other instruments to secure payment of Reportable Fees at a future date. The Reportable Fees have not been levied, collected, or imposed for general revenue purposes.

ANNUAL REPORT

In accordance with Government Code Section 66006, the District provides the following information for fiscal year 2016-2017:

A. Description of the Type of Reportable Fees in the Account or Sub-Account(s) of the District:

The Reportable Fees consist of Statutory School Facility Fees. The Reportable Fees were deposited in the Capital Facilities Fund (Fund 25) (“Fund”), a separate capital facilities account or fund in a manner to avoid any commingling of the Reportable Fees with other revenues and funds of the District, except for temporary investments. As this Report provides, the Reportable Fees and any interest income earned by moneys in the Fund have been expended as set forth herein solely for the purpose for which the Reportable Fees were originally collected. (Government Code Section 66006(a).)

B. Reportable Fees Information for the Fund:

1. Within 180 days after the last day of each fiscal year, the District is required to make available to the public certain information. As set forth below, the District provides the following information for the Fund for the fiscal year 2016-2017 pursuant to Government Code Section 66006(b)(1).

a. Amount of the Reportable Fees:

The Reportable Fees were authorized to be levied on Development by the Board of Trustees (“Board”) of the District at the time the Reportable Fees were adopted. As shown in the District’s Fee Justification Study (“FJS”), the Reportable Fees only partially mitigate the impacts to the District caused by Development because the Reportable Fee amounts do not adequately fund the District’s School Facilities needs resulting from additional Development within the District. (Government Code Section 66006(b)(1)(A).)

Statutory School Facility Fees (Government Code Section 66006(b)(1)(B))

Level 1 Residential	\$3.36 per square foot
Level 1 Commercial/Industrial	\$0.54 per square foot

From July 1, 2016 to August 1, 2016

Level 1 Residential	\$3.48 per square foot
Level 1 Commercial/Industrial	\$0.56 per square foot

From August 2, 2016 to June 30, 2017

b. Beginning and Ending Balance, Reportable Fees Collected, Interest Earned and Expenditures of the Fund (Government Code Section 66006(b)(1)(C) and (D)):

	Reportable Fees
Beginning Balance (07/01/16)	\$325,415.19
Amount of Reportable Fees Collected	\$79,698.80
Interest Earned	\$2,437.93
Expenditures	< \$187,264.27 >
Ending Balance (06/30/17):	\$220,287.65

c. Identification of Each District Project on Which Reportable Fees Were Expended Including the School Facilities Project (“Project”) Total and Percentage of the Project Cost that was Funded with Reportable Fees (Government Code Section 66006(b)(1)(E)):

The foregoing information¹ is set forth below.

Project Description	Project Total	Percentage of Project Total Funded w/ Reportable Fees
Modular Leases Relating to Accommodating Students from New development	\$50,487.36	100
Legal Fees associated with Growth and School Fees Reports	\$1,630.50	100
Florida Street Discovery Center construction-related costs to accommodate new Pre-School	\$83,564.60	100
Advertising fees related to school fees Reports	\$296.00	100
Central Elementary School technology-related costs to accommodate additional Growth capacity	\$27,585.08	100
Hemmerling Elementary School furniture and construction-related costs to accommodate additional Growth capacity	\$8,406.06	100
Assessment costs related to Property Acquisition for expansion of Banning High School, and/or new K-8 School	\$4,731.82	100
Milo P Johnson Center technology-related costs to accommodate additional Growth capacity	\$10,562.85	100

d. When the District Accumulates Sufficient Funds to Complete Project(s) for Which It Previously Identified as Intending to Spend Reportable Fees,² the District Needs to Identify the Approximate Date

¹ Pursuant to Education Code 17620(a)(5), Level 1 Fees collected may also be spent on the following nonfacility costs: the costs of conducting a School Facilities Needs Analysis and/or Fee Justification Study; and preparing the Annual and Five-Year Report. In addition, a school district may also retain “an amount not to exceed, in any fiscal year, three percent of the fees collected in that fiscal year. . . .” The three percent amount is for the reimbursement of administrative costs incurred in collecting the fee. For school districts that levy a Level 2 Fee and/or a Level 3 Fee, the three percent amount is calculated only on the amount of the Level 1 Fees that are collected.

² The District is required to make such identification pursuant to Government Code Section 66001(a)(2). The identification may have been done by reference to a capital improvement plan or general plan or may be made in other public documents that identify the public facilities for which the fee is charged.

It Will Commence Construction on Such Project(s) (Government Code 66006(b)(1)(F)):

The District has determined that for fiscal year 2016-2017, Reportable Fees and other sources of funding were sufficient to complete the financing of the following Projects:

Project	Estimated/Actual Commencement Date

e. Description of Each Interfund Transfer or Loan Made From the Fund (Government Code Section 66006(b)(1)(G)):

Interfund Transfers:

Description of Project for which Interfund Transfer was Used	Fund(s) to Which Reportable Fees Were Transferred	Amount Transferred
		\$0

Interfund Loans:

Description of Project for Which Interfund Loan was Used	Fund(s) to Which Reportable Fees Were Loaned	Amount Loaned	Date Loan Repaid	Rate of Interest
		\$0		

f. Refunds and Allocations (Government Code Section 66006(b)(1)(H), 66001(e), (f)):

When the District has determined that sufficient funds have been collected to complete financing on incomplete Project(s) and the Project remains incomplete, the District is required to identify the approximate date by which the construction of the Project(s) will commence. If the District fails to timely identify the approximate date by which the construction of the Project(s) will commence, then the District must refund the unexpended portion of the Reportable Fees and any interest accrued thereon to the then current record owner(s).

Refund	\$ 0
Less Admin. Costs of Refunding	\$ 0
Net Refund	\$ 0

2. The District will review the Report at the next regularly scheduled public meeting (“Meeting”) not less than 15 days after the Report is made available to the public. Notice of the time and place of the Meeting, including the address where the Report may be reviewed, will be mailed at least 15 days prior to the Meeting, to any interested party who filed a written request with the District for mailed notice of the Meeting.³

FIVE-YEAR REPORT

In accordance with Government Code Section 66001, the District provides the following information for fiscal year 2016-2017:

For the fifth fiscal year following the first deposit into the Fund, and every five years thereafter, the District is required to make all of the following findings with respect to that portion of the Fund remaining unexpended, whether committed or uncommitted. At the close of the fiscal year 2016-2017, there remained \$ 220,287.65 in the Fund (Government Code Section 66001(d)):

A. Identification of the Purpose to Which the Reportable Fees are to be Put:

The purpose of the Reportable Fees imposed and collected on Development within the District is to fund additional School Facilities required to serve the students of the District generated by Development within the District. Specifically, the Reportable Fees will be used for the construction and/or acquisition of additional School Facilities, remodeling existing School Facilities to accommodate new growth from new development including, but not limited to, adding additional classrooms, technology and acquiring and installing additional portable classrooms. (Government Code Section 66001(d)(1)(A)).

³ Any written request for mailed notices shall be valid for one year from the date on which it is filed unless a renewal request is filed. Renewal requests for mailed notices shall be filed on or before April 1 of each year. The District may establish a reasonable annual charge for sending notices based on the estimated cost of providing the service.

Further information regarding such Project(s) is set forth in the following chart:

Project Name	Source of Funds⁴	Amount of Anticipated Funding From Each Source⁵	Project Total⁶
Modular Leases	Statutory School Fees	\$33,286.33	\$33,286.33
Building of a new K-8 School	Statutory School Fees	\$187,001.32	\$30,810,000.00
“	Other	\$30,589,712.35	\$30,810,000.00

B. Demonstration of a Reasonable Relationship Between the Reportable Fees and the Purposes for Which They are Charged:

As shown in the FJS, there is a roughly proportional, reasonable relationship between the Development upon which the Reportable Fees are charged and the need for additional School Facilities by reason of the fact that additional students will be generated by additional Development within the District, which results in projected unhoused students. Furthermore, the Reportable Fees charged on Development will be used to fund School Facilities which will be used to serve the students generated from Development. The Reportable Fees do not exceed the costs of providing such School Facilities for new students. (Government Code Section (d)(1)(B)).

C. Identification of All Sources and Amounts of Funding Anticipated to Complete Incomplete Projects Identified by the District in Paragraph A Above and

⁴ See chart in Paragraph C below for applicable sources of funds.

⁵ The total known amounts in this column should equal the total in Line 10 of the chart in paragraph C below.

⁶ The total in this column should equal the total in Line 11 of the chart in paragraph C below.

Approximate Date Funding Is Expected to Be Deposited. (Government Code Section 66001(d)(1)(C) and (D):

Source of Funding		Amount of Funding Anticipated to Complete Incomplete Projects	Approximate Date Funding Expected to Be Deposited
1.	State Funding Program Funds		
2.	State Hardship Funds		
3.	Community Facilities Districts		
4.	General Obligation Bond Proceeds (Not Authorized, Only Issued)		
5.	Redevelopment Pass-Through Agreements		
6.	Reportable Fees	\$220,287.65	2016/2017 ending fund balance – fully deposited
7.	Mitigation Payments		
8.	Certificates of Participation		
9.	SB-201 Fees (Government Code Section 65970, <i>et seq.</i>)		
10.	Total Funding (Add Lines 1 – 10 above)	\$220,287.65	
11.	Total Costs of All Incomplete Projects	\$30,810,000.00	
12.	Minus Total of All Funding Sources (Enter from Line 11 above).	\$220,287.65	
13.	Unfunded Balance (Line 11, minus Line 12)	\$30,589,712.35	